

RED ALERT

Despite the tense relations between neighbours India and China, trade has been flourishing between the two largest economies of Asia. Their total trade crossed the \$100-billion mark for the first time in 2021-22. Comparatively, trade was at \$86 billion in FY21 and \$76 billion in FY12. In H1FY23, total trade stands at \$60.2 billion, and it is on course to cross the \$100-billion mark for the second consecutive year. However, because of almost one-way trade flows, India's trade deficit with China has already reached \$44.6 billion in the first six months of the current financial year. Here's a look at India's key trade numbers vis-à-vis China

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THE DRAGON TAKES WING

INDIA'S TOTAL IMPORTS HAVE GONE UP BY 25 PER CENT IN THE PAST 10 YEARS, WHILE IMPORTS FROM CHINA HAVE SURGED 64 PER CENT



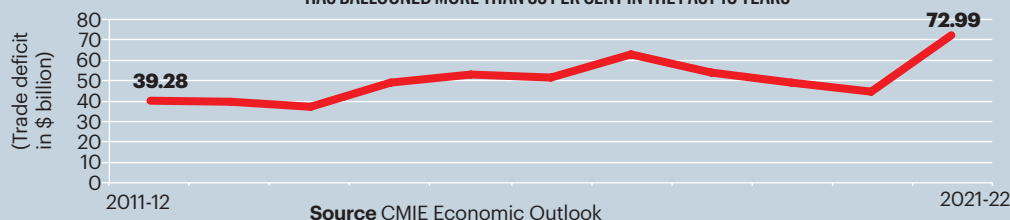
UNBALANCED TRADE

ON THE OTHER HAND, INDIA'S TOTAL EXPORTS HAVE INCREASED BY 38 PER CENT FROM FY12 TO FY22. BUT IN THE SAME PERIOD, ITS EXPORTS TO CHINA HAVE RISEN BY JUST 16 PER CENT



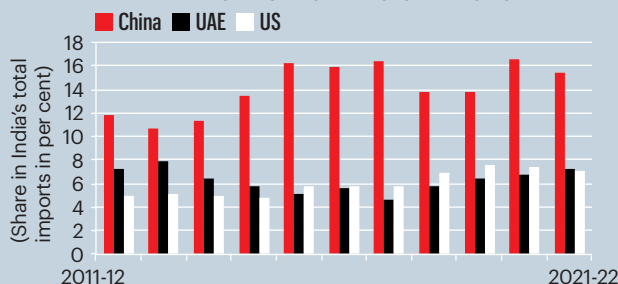
LINE OUT OF CONTROL

DUE TO RISING IMPORTS FROM CHINA, INDIA'S TRADE DEFICIT WITH ITS NEIGHBOUR HAS BALLOONED MORE THAN 85 PER CENT IN THE PAST 10 YEARS



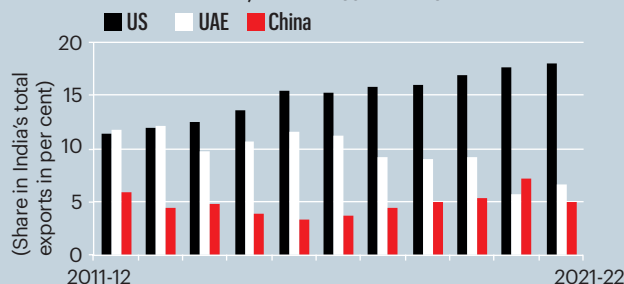
THE CHINESE WALL

FOR THE PAST 10 YEARS, CHINA HAS ACCOUNTED FOR MORE THAN 10 PER CENT OF INDIA'S TOTAL IMPORTS



A DISTANT THIRD

CHINA IS INDIA'S THIRD-LARGEST EXPORT MARKET, AFTER THE US AND THE UAE



Source CMIE Economic Outlook